

Advertisement

AI



20 national security
experts urge Trump
administration to restrict
Nvidia H20 sales to China

Not everyone is happy that the Trump administration [gave Nvidia the green light](#) to start selling its H20 advanced AI chips in China again.

A group of 20 national security experts and former government officials [wrote a letter to the U.S. Department of Commerce](#) secretary Howard Lutnick on Monday urging the Trump administration to reverse its recent decision to let Nvidia resume selling its H20 AI chips in China.

The letter called the Trump administration's recent decision a "strategic misstep" that will have detrimental effects on the U.S.'s AI "edge" for both military and civilian use cases.

IMAGE CREDITS:

BENJAMIN TANJOY / BLOOMBERG / GETTY IMAGES

The letter specifically called out H20's AI inference, the process of using a trained AI model to make decisions on unseen data.

"The H20 is a potent accelerator of China's frontier AI capabilities, not an outdated AI chip," the letter stated. "Designed specifically to work around export control thresholds, the H20 is optimized for inference, the process responsible for the dramatic capabilities gains made by the latest generation of frontier AI reasoning models. For inference tasks, the H20 outperforms even the H100, an AI chip this administration has restricted access to due to its advanced capabilities."

TEC DISRUPT

October 27-29, 2025 | San Francisco

Put your brand in front of 10,000+ tech and VC leaders across all three days of Disrupt 2025. Amplify your reach, spark real connections, and lead the innovation charge. Secure your exhibit space before your competitor does.

[Book Your Table >](#)

Most Popular



- Key sections of the US Constitution deleted from government's website
- Three weeks after acquiring Windsurf, Cognition offers staff the exit door
- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue's AI-generated ad isn't just about fashion

The letter also claimed that selling the H20 chips in China will worsen the existing AI chip bottleneck in the U.S.; that these chips could be used to support China's military; and that this decision will weaken overall chip export controls.

"The decision to ban H20 exports earlier this year was the right one," the letter said. "We ask you to stand by that principle and continue blocking the sale of advanced AI chips to China as America works to maintain its technological edge. This is not a question of trade. It is a question of national security."

- Your public ChatGPT queries are getting indexed by Google and other search engines
- The best dating apps aren't even dating apps

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

The letter's signatories include Matt Pottinger, the former deputy national security adviser during Trump's first term; Stewart Baker, the former assistant secretary of Homeland Security under George W. Bush; and David Feith, a former member of the National Security Council, among others.

This letter comes two weeks after the DOC gave Nvidia the green light to start selling its AI chips in

China again in relation to [ongoing trade discussions with China regarding rare earth elements](#). At the time, Lutnick tried to downplay the decision and said Nvidia’s H20 was the company’s “fourth best” AI chip.

Last week, the Trump administration unveiled its AI Action Plan, which highlighted the need for U.S. AI chip export restrictions but was [light on the details](#) of what those export controls would look like.

Topics: [AI](#) [artificial intelligence](#) [China](#) [Enterprise](#)

[nvidia](#) [semiconductors](#) [United States](#)

[f](#) [X](#) [in](#) [reddit](#) [email](#) [link](#)



Rebecca Szkutak

Senior Reporter, Venture | [X](#) [in](#)

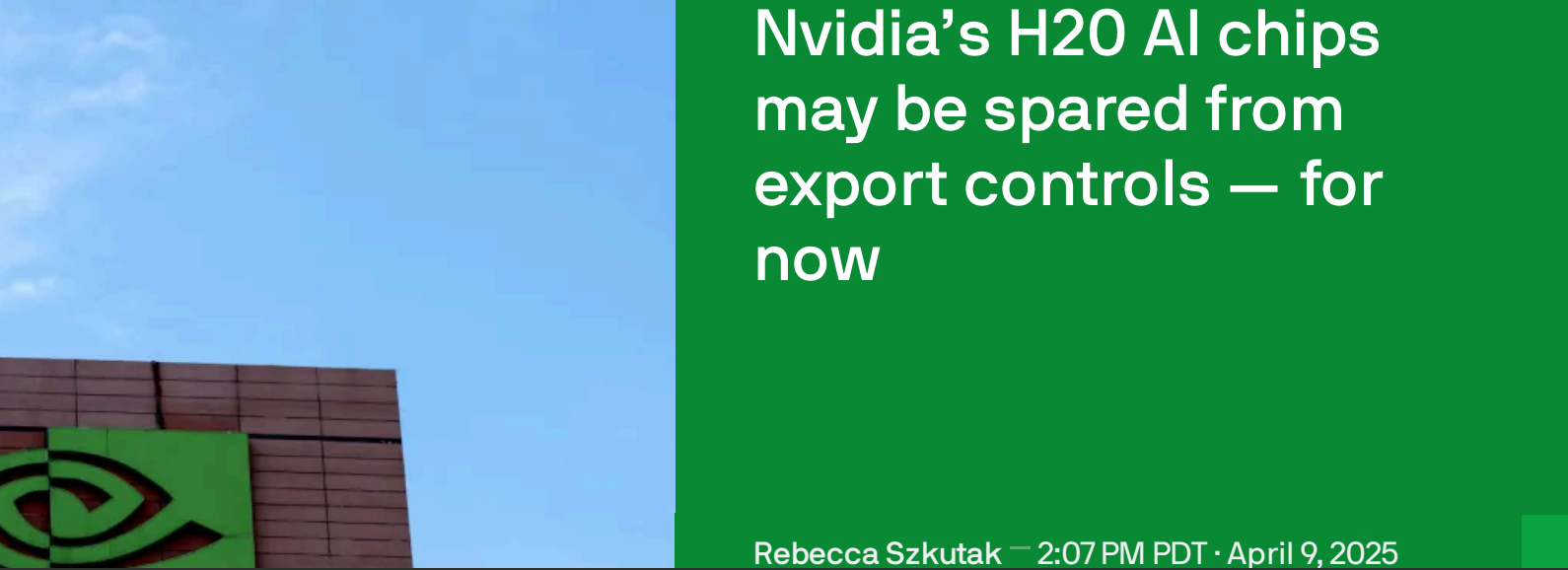
Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the...

[View Bio](#) >

KEEP READING

AI

[f](#) [X](#) [in](#) [reddit](#) [email](#) [link](#)

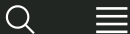


Nvidia’s H20 AI chips may be spared from export controls — for now

Rebecca Szkutak — 2:07 PM PDT · April 9, 2025

- Latest
- Security
- Startups
- AI
- Venture
- Apps
- Apple

- Events
- Podcasts
- Newsletters



sometime last week.

Nvidia declined to comment.

Many in the semiconductor industry feared H20s, which are modified to have lower performance than other Nvidia chips, were headed for restrictions because they were reportedly one of the chips [China-based DeepSeek used to train its R1 open AI model](#). Released in January, R1 made headlines for its strong performance relative to models from U.S.-based AI labs, including OpenAI.

Senators from both sides of the aisle [have called for restrictions on the H20](#). Even the Trump administration was said to have been preparing

Every weekday and Sunday, you can get the best of TechCrunch’s coverage.

Startups Weekly 
Startups are the core of TechCrunch, so get our best coverage delivered weekly.

TechCrunch Week in Review 
Get the best of our coverage, delivered to your inbox every Saturday.

TechCrunch Mobility 
TechCrunch Mobility is your destination for transportation news and insight.

No newsletters selected.

H2O export controls prior to its reversal in course, according to NPR.

While it isn't totally surprising that Trump allegedly agreed to shelve some potential chip restrictions in exchange for a commitment from Nvidia to invest in U.S. AI infrastructure, allowing Nvidia to continue exporting H2Os to China would appear to counter the administration's goal of securing U.S. dominance in AI.

Making the move even more perplexing is the Trump administration's decision to keep in place the [set of AI chip export](#) rules introduced by outgoing President Joe Biden in January. Those rules layer chip export limits on nearly every country outside the U.S. — including U.S. allies — with harsher restrictions on China and Russia.

Email address

Subscribe

By submitting your email, you agree to our [Terms](#) and [Privacy Notice](#).

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

Nvidia has called those guidelines “unprecedented and misguided” and said that they're likely to stifle global innovation.

Many AI companies besides Nvidia have leaned into Trump’s “America-first” approach to AI in bids to curry favor with the administration. OpenAI teamed up with SoftBank and Oracle for a \$500 billion U.S. data center initiative dubbed [the Stargate Project](#) in January. [Microsoft pledged \\$80 billion](#) to build AI data centers in its 2025 fiscal year, with 50% of that earmarked for the U.S.

Trump has strong-armed certain partners to get his desired outcome. He [reportedly](#) told Taiwanese semiconductor company TSMC that it would have to pay a tax up to 100% if the company didn’t build new chip factories in the U.S.

Topics: [AI](#) [AI chips](#) [AI hardware](#)

[artificial intelligence](#) [China](#) [Enterprise](#)

[Hardware](#) [nvidia](#) [semiconductors](#)

[United States](#)

[f](#) [X](#) [in](#) [t](#) [✉](#) [🔗](#)



Rebecca Szkutak

Senior Reporter, Venture | [X](#) [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the...

[View Bio](#) >

———— KEEP READING ————

Nvidia's resumption of H20 chip sales related to rare-earth element trade talks

Rebecca Szkutak — 9:57 AM PDT · July 16, 2025

IMAGE CREDITS: IT HONGRO/VCG / GETTY IMAGES

Rare-earth elements appear to be behind Nvidia's stance on China.

After announcing in June plans to essentially [withdraw from the Chinese market](#), the semiconductor chip and AI giant reversed course and said it was filing an application to [restart sales of its H20 AI chip to China](#).

U.S. Commerce Secretary Howard Lutnick said Tuesday that Nvidia's plans to start selling its H20 AI chips are tied to ongoing trade discussions with China regarding rare-earth elements, [according to reporting from Reuters](#). [AMD plans to restart sales of its MI308 AI chip](#) in China too.

Rare-earth elements (REE) like lanthanum and cerium, which are largely mined in China, are

Latest in AI

[See More](#)

AI



Google denies AI search features are killing website traffic

Sarah Perez - 12 hours ago

AI



First impressions of Alexa+, Amazon's upgraded, AI-powered digital assistant

Sarah Perez - 13 hours ago

AI



Google takes on ChatGPT's Study Mode with new 'Guided Learning' tool in Gemini

necessary components in technology, including rechargeable batteries for electric vehicles. These REEs have become a critical point in the current trade debates between the U.S. and China.

Not everyone is happy with this trade development though.

The decision “would not only hand our foreign adversaries our most advanced technologies, but is also dangerously inconsistent with this administration’s previously-stated position on export controls for China,” Congressman Raja Krishnamoorthi said in a statement, according to Reuters.

But Lutnick isn’t concerned and told CNBC on Tuesday that China is only getting [Nvidia’s “fourth best” chip](#).

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They’re here to deliver the insights that fuel startup growth and sharpen your edge. Don’t miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

“We don’t sell them our best stuff, not our second best stuff, not even our third best,” Lutnick said in the interview.

This news comes less than a week after it was rumored that Nvidia would be [designing and releasing a new AI chip specifically for the Chinese market](#) to resume business in the country without violating U.S. chip export rules.

The U.S. is still trying to figure out what its AI chip export rules are going to look like. The Trump administration [formally rescinded the Biden administration's AI Diffusion Rule](#) in May and there hasn't been a formal update since.

The Trump administration was [rumored to be considering further restrictions on AI chip exports to countries like Thailand and Malaysia](#), to prevent smuggling, Bloomberg reported last week. Malaysia [implemented trade permits on U.S.-made AI chips](#) on Monday.

TechCrunch reached out to Nvidia for comment.

Topics: [AI](#) [AI chip exports](#) [artificial intelligence](#)

[China](#) [Enterprise](#) [nvidia](#) [Semicondcutor](#)

[United States](#)



Rebecca Szkutak

Senior Reporter, Venture | [X](#) [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the...

[View Bio](#) >

Loading the next article





[TechCrunch Staff](#)

[Contact Us](#)

[Advertise](#)

[Crunchboard Jobs](#)

[Site Map](#)

[Terms of Service](#)

[Privacy Policy](#)

[RSS Terms of Use](#)

[OpenAI](#)

[Perplexity](#)

[Cisco](#)

[DeepMind](#)

[Windsurf](#)

[Tech Layoffs](#)

[ChatGPT](#)